

for any extended period, reinvest a large portion of their earnings internally at high rates of return. However, in light of the firm's pricing power, See's Candies' earnings keep growing without needing incremental capital, thus steadily delivering a high return on (rather low) capital employed. Typically, for such companies, two factors help minimize the funds required for operations. First, the product is sold for cash, which eliminates the need to wait for the customer to pay up and thus reduces accounts receivables. Second, the production and distribution cycle is short, which minimizes inventories. Such a business eventually becomes like a cash machine, allowing investors to use that steady stream of cash to buy other attractive businesses. In the Indian context, Hindustan Unilever is an example of this type of business.

Businesses that require capital to grow and generate decent ROCE: Buffett says that the businesses described above are extremely difficult to find. Typically, companies require additional capital to keep growing their earnings. That's because growing businesses have both working capital needs, which increase in proportion to sales growth, and significant requirements for fixed asset investments. Such businesses also form a decent investment option as long as they enjoy durable competitive advantages that can lead to attractive return on the incremental capital employed. An example of this type of business is HDFC Bank. As described by Saurabh Mukherjea in his bestselling book *The Unusual Billionaires*, 'A rupee invested in HDFC Bank at its IPO in March 1995 is worth Rs 134 now (April 2016), implying a CAGR of 26 per cent. At the heart of this outstanding performance there have been a) a risk-aware culture that focused on generating healthy returns without taking high risks; b) an internal architecture that has consistently allowed the bank to innovatively rethink the core process flows that characterize the central offering of the banking sector in areas like cash management and low-cost deposits; and c) the strength of the iconic HDFC brand.'

Businesses that require capital but generate low Returns on Capital: Finally, Buffett talks about the worst sort of businesses, which grow rapidly, require significant capital to engender growth and then earn little or no